The Canadian Investment Marketplace

CHAPTER 3: The Canadian Regulatory Environment



Regulation of Securities

Who regulates the securities industry in Canada?

a) The federal Government

b) The OSC

c) The Provinces

Regulation of Securities

Answer:

- The issuing of securities is a provincial responsibility.
- The federal government provides some consumer protection through the Companies Act and through the Fraud Act.
- The SROs and exchanges regulate the trading of securities with the goal of protecting investors and enhancing the efficiency and competitiveness of the Canadian capital markets.

Regulatory Organizations

- The provincial securities commissions
- The stock exchanges
- Office of the Superintendent of Financial Institutions (OSFI)
- The self-regulatory organizations (SROs)
- The Investment Industry Regulatory Organization (IIROC)
- The Mutual Fund Dealers Association (MFDA)
- Insurance Corporations
  - The Canadian Investor Protection Fund (CIPF)
  - MFDA Investor Protection Corporation (MFDA IPC)
  - Provincial Insurance Corporations

What is an SRO?

- Private industry organizations
- Enforce members' conformity with securities legislation
- Can prescribe their own rules of conduct and financial requirements for their members
- Delegated regulatory functions by the provincial regulatory bodies
- The provincial securities commissions monitor SRO conduct
- SRO regulations apply in addition to provincial regulations

Canadian SROs

- IIROC
- MFDA

IIROC Regulation

Financial Compliance	Monitor capital and financial requirements of member firms
Business Conduct	Monitoring to ensure policies & procedures are in place to properly supervise the handling of client accounts
Registration	Oversee professional standards and educational programs; ensure competence of industry employees is maintained
Enforcement	Investigates complaints received against a member firm or a registered employee.

CIPF Requirements

- Offers protection against loss due to the bankruptcy of SRO firms.
- All accounts of a customer are covered either as part of the customer's general account or as a separate account.
- Covers customers' losses of securities and cash balances that result from the insolvency within certain limits.
  - $1m for losses related to securities and cash balances
  - Separate accounts *each* limited $1m unless combined with other separate accounts

Know Your Client Rule

An Investment Advisor is considered to have a level of knowledge and understanding that is superior to his or her clients.

The **Know Your Client rule** states that salespersons must use due diligence to learn the essential facts relative to every client, every account accepted and every order.

Therefore the onus is on the advisor to learn essential facts about a client before entering into a business relationship with that client.

Continuous Disclosure

Once a reporting issuer has distributed securities, the company must comply with the ***timely and continuous public disclosure requirements*** of the acts. These include:

Continuous Disclosure

- Filing with the administrators annual and interim financial statements meeting prescribed standards of disclosure, and any material change reports
- Sending to the shareholders: quarterly interim financial statements, comparative audited annual financial statements and notices of annual meetings

Investor Rights

There are three statutory rights available to the purchaser of securities issued in Canada under prospectus requirements.

They are:

- Right of Withdrawal
- Right of Rescission
- Right of Action for Damages

Investor Rights

Right of Withdrawal

The relevant securities legislation usually provides purchasers during a distribution by way of a prospectus with the right to withdraw from an agreement to purchase securities with ***two business days*** after receipt or deemed receipt of a prospectus and any amendment, by giving notice to the vendor or its agent.

Investor Rights

Right of Rescission

Most provinces give purchasers during a distribution by way of a prospectus the right to rescind or cancel a contract for the purchase of securities, if the prospectus or amended prospectus offering the security contains a material ***misrepresentation***.

Investor Rights

Right of Action for Damages

The acts of most provinces provide that the issuer, the directors of an issuer, the seller of a security, the underwriter who signs a certificate for a prospectus, and any other person who signs a prospectus, may be liable for damages if the prospectus contains a material misrepresentation.

Insider Trading

Insiders are generally defined to include:

- A director or senior officer of the company, or a subsidiary
- A person or company who owns, or controls more than 10% of the voting shares of the company
- A director or senior officer of a company which is itself an insider of the company due to ownership, control or direction over more than 10% of the voting shares of the company involved

Insiders

Requirements

- The insider must report to the administrators details of any change from the previous report (trading activity) within **ten days** after the trade takes place.
- All reports filed with the administrator are open for public inspection. Failing to file an insider report or giving false or misleading information are offences under the acts and are usually punishable by a fine.